

John and I met with the group headed up by NERC that supports reliability legislation. Included in the group are: NERC, CEA, EEI, APPA, TAPS, ELCON, EPSA, PJM, Entergy. The group is attempting to reconvene and indicate their continuing support for the reliability legislation (33 pages) that was drafted last year. Enron, ELCON and EPSA did not support the final drafted legislation, although we are told that Enron (through Dan Watkiss) was close to giving its support.

This group still supports the legislation that was drafted last year and would like Enron to give its support as well. ELCON has many concerns with the legislation, and EPSA is still on the fence (waiting to hear from us, I think). John Shelk and I indicated to the group that Enron is reassessing the legislation and our position on the legislation. Another meeting (conference call) is scheduled for June 15. Enron seems to be somewhat of a linchpin in this debate -- the group thinks the legislation will be effective if Enron signs on, even without ELCON's support, but they seem to think it has less effectiveness without Enron. Therefore, the group is very anxious to hear our position.

John and I are meeting with Dan Watkiss tomorrow to find out from him where we left off on the drafting. We want to see how comfortable Dan was with the draft legislation and where he felt that changes were still needed. We are then meeting with ELCON on Thursday to get a better idea of what their concerns are with the legislation (it seems to be a pretty long list). I will send an email to this group on Friday letting everyone know what came out of these meetings and we can then discuss what position Enron should take in this group effort.

Please let me know if you have any questions or comments.

Sarah